

*Let's recap what we've learned in this tutorial:*

*A mutual fund brings together a group of people and invests their money in stocks, bonds, and other securities.*

*The advantages of mutual are professional management, diversification, economies, simplicity and liquidity.*

*The disadvantages of mutual are high costs, over-diversification, possible tax consequences, and the inability of management to guarantee a superior return.*

*There are many, many types of mutual funds. You can classify funds based on asset class, investing strategy, region, etc.*

*Mutual funds have lots of costs.*

*Costs can be broken down into ongoing fees (represented by the expense ratio) and transaction fees (loads).*

*The biggest problems with mutual funds are their costs and fees.*

*Mutual funds are easy to buy and sell. You can either buy them directly from the fund company or through a third party.*

*Mutual fund ads can be very deceiving.*